# Property Submarket Analysis Report

## Executive Summary

The subject property at 735 Tulip Grove Rd is a 3-bedroom, 2.5-bath home with 2,030 Sq.Ft., built in 2006 and last sold on 2020-10-05 for $262,000. In the local market, there are 65 active sales listings with a median price of $325,000 and a median price per square foot (PPSF) of $223.09. On the rental side, 42 active listings show a median rent of $1,712.50 and a median rent per square foot (RPSF) of $1.32. Using market medians, the baseline value for the subject is approximately $452,873, while the top five closest sales comps imply a value of approximately $368,283. For rent, the baseline estimate is about $2,679.60 per month, and the comp-implied rent is about $2,691.78 per month.

These figures indicate a market where pricing bands are reasonably tight on a PPSF basis for sales and where rental pricing shows consistency across similarly configured properties. The subject is notably larger than typical listings (sale median 1,412 Sq.Ft.; rental median 1,320 Sq.Ft.), which can compress PPSF while still supporting higher total value and rent. Days on market are moderate for sales and show a pronounced long tail for rentals, though the rental median (31 days) suggests typical leasing cycles remain relatively brisk.

From an investment perspective, the comp-implied value and rent support an indicative gross rental yield near 8.8% and a gross rent multiplier near 11.4, aligning with a steady buy-and-hold profile. High occupancy (≈96.2%) and projected income growth bolster income stability and rental durability. The main limitation is value dispersion across PPSF ranges and the subject's larger size, which can warrant a careful pricing strategy to balance competitiveness with returns.

## Subject Property Overview

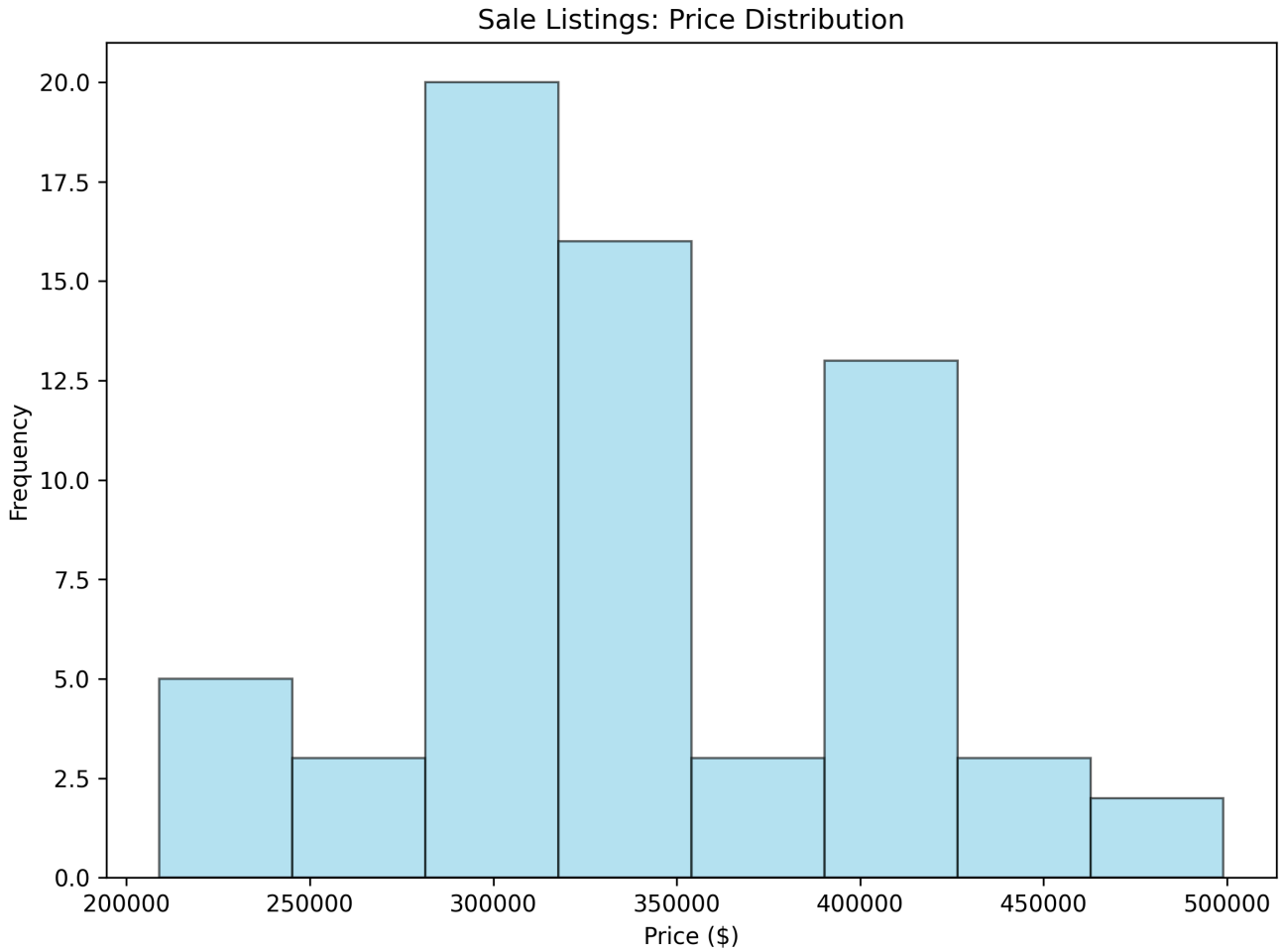
The property is located at 735 Tulip Grove Rd and features 3 bedrooms, 2.5 bathrooms, and 2,030 Sq.Ft. of living area. It was built in 2006, and the last recorded sale occurred on 2020-10-05T00:00:00.000Z for $262,000. Lot size and HOA fees are not available. Ownership is listed to Hicock Kathryn Anne and Spragan Michael Willard, with the owner type noted as Individual.

At 2,030 Sq.Ft., the home is larger than the area's median sales and rental listings, positioning it in a segment where PPSF typically compresses relative to smaller homes. The 2006 vintage suggests the property is modern enough to appeal to current buyer and renter preferences while potentially requiring targeted updates rather than wholesale modernization. The absence of HOA and lot-size details limits visibility into ancillary carrying costs and amenity positioning, but the core profile is aligned with the local 3-bedroom cohort.

These characteristics imply that marketing should emphasize total livable space and functional layout to capitalize on demand for larger 3-bedroom homes. Pricing will likely be set by comp-driven PPSF tempered for the subject's size, balancing competitiveness with value capture. In the rental market, the subject's size should support above-median total rent at a moderate RPSF, aiding absorption while maintaining income strength.

## Sales Market Analysis

## Sales Market Overview




The active sales market includes 65 listings with a median price of $325,000. Median PPSF stands at $223.09 (average $223.84), within a range from $171.54 to $289.99. Listing prices span $209,000 to $499,000. Living areas average 1,542 Sq.Ft. with a median of 1,412 Sq.Ft., ranging from 923 to 2,645 Sq.Ft. Days on market (DOM) average 59, with a median of 52 and a range of 2 to 402 days. The sales histogram visualizes how most listings cluster within the market's prevailing price tiers.

PPSF sits in a tight band overall, suggesting relatively consistent pricing discipline across the submarket despite a broad range of home sizes and feature sets. Typical homes are smaller than the subject, which often introduces PPSF compression for larger properties even as total price rises. DOM patterns signal balanced liquidity—most homes transact within roughly two months, but the long tail indicates that over-priced or niche listings can sit considerably longer.

For the subject, the size premium implies a higher total value but likely at a PPSF discount to smaller homes populating the median cohort. Moderate absorption supports a standard marketing timeline, while the price distribution suggests a need to anchor list pricing to the upper middle of comp-supported ranges rather than outliers. In short, prevailing tiers and turnover cadence point toward a competitive but not overheated sales environment.

## Comparative Market Analysis (CMA)

| Address | Bedrooms | Bathrooms | Sq.Ft. | Vintage | Price | PPSF |
|---|---|---|---|---|---|---|
| 735 Tulip Grove Rd | 3 | 2.5 | 2030 | 2006 | $350,000 | $172.41 |

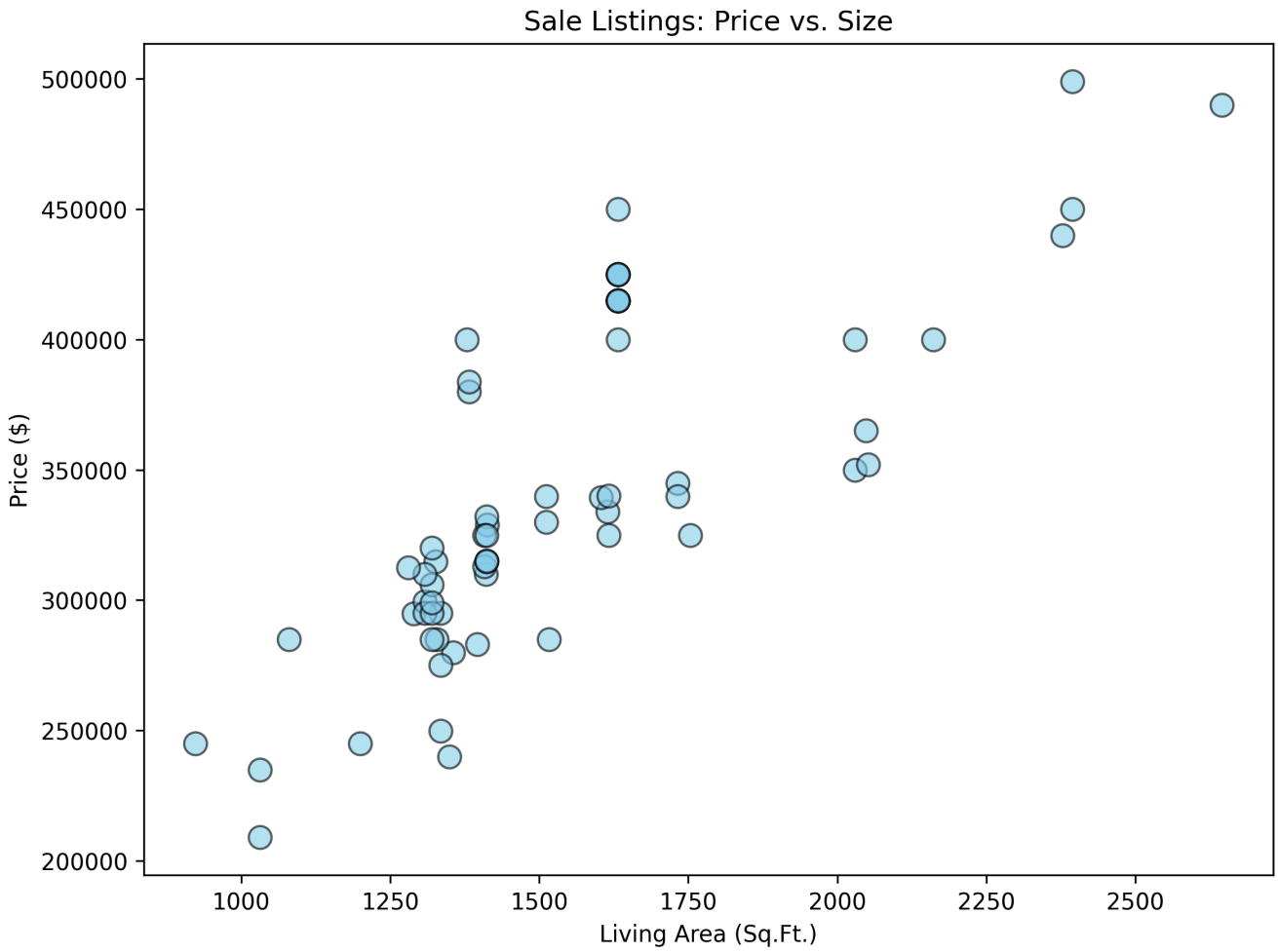
| | | | | | | |
|---|---|---|---|---|---|---|
| 735 Tulip Grove Rd | 3 | 2.5 | 2030 | 2005 | $399,900 | $197.00 |
| 735 Tulip Grove Rd | 3 | 2.5 | 2048 | 2005 | $365,000 | $178.22 |
| 735 Tulip Grove Rd | 3 | 2.5 | 2052 | 2009 | $352,000 | $171.54 |
| 137 Stoners Glen Dr | 3 | 2.5 | 2394 | 2001 | $449,900 | $187.93 |

The top five comps were selected by minimizing differences in bedrooms, bathrooms, living area, and vintage, and they cluster closely around the subject's configuration. Across these, the average PPSF is approximately $181.42. Four comps are within roughly 20 Sq.Ft. of the subject's size and are of similar vintage, while one larger, earlier-vintage property provides an upper-range price reference.

The comp set reflects consistent PPSF in the low-to-mid $170s to high-$180s for similarly sized 3-bedroom homes, with the outlier larger property (2,394 Sq.Ft., 2001) achieving a higher price at a still-moderate PPSF. The tight PPSF cluster underscores the size-related compression relative to the market median PPSF. No material data gaps are evident, and the proximity in size and vintage increases the relevance of these comparables to the subject.

Given the strong alignment in configuration and size, the comp-based valuation should be weighted meaningfully in pricing decisions. Minor adjustments for condition, finish level, or micro-location could be warranted, but the overall reliability appears solid. The result is a property-specific PPSF that is below the market-wide median, consistent with how larger homes price relative to smaller cohorts.

## Value Estimate



Using market medians, the baseline value is computed as $223.09 × 2,030 ≈ $452,872.70. The comp-implied value, based on the average PPSF of the selected comps, is $181.42 × 2,030 ≈ $368,282.60. The price vs. size scatter plot situates the subject among similarly sized homes, illustrating how size interacts with pricing across the market.

The divergence between the baseline and comp-implied values highlights PPSF compression for larger properties and the importance of property-specific comparables. The comp set, anchored around the subject's size and vintage, suggests that the subject is likely to transact closer to the comp-implied level than the broader market median PPSF would indicate. This aligns with the observed distribution where smaller homes often command relatively higher PPSF.

Confidence in the estimate is supported by the tight clustering of size- and vintage-relevant comps, though overall market dispersion in PPSF introduces some valuation bandwidth. The comps serve as a more precise anchor for the subject than the median baseline, suggesting that pricing should be calibrated near the comp-implied figure while maintaining flexibility for condition-based adjustments.

### Valuation Sensitivity

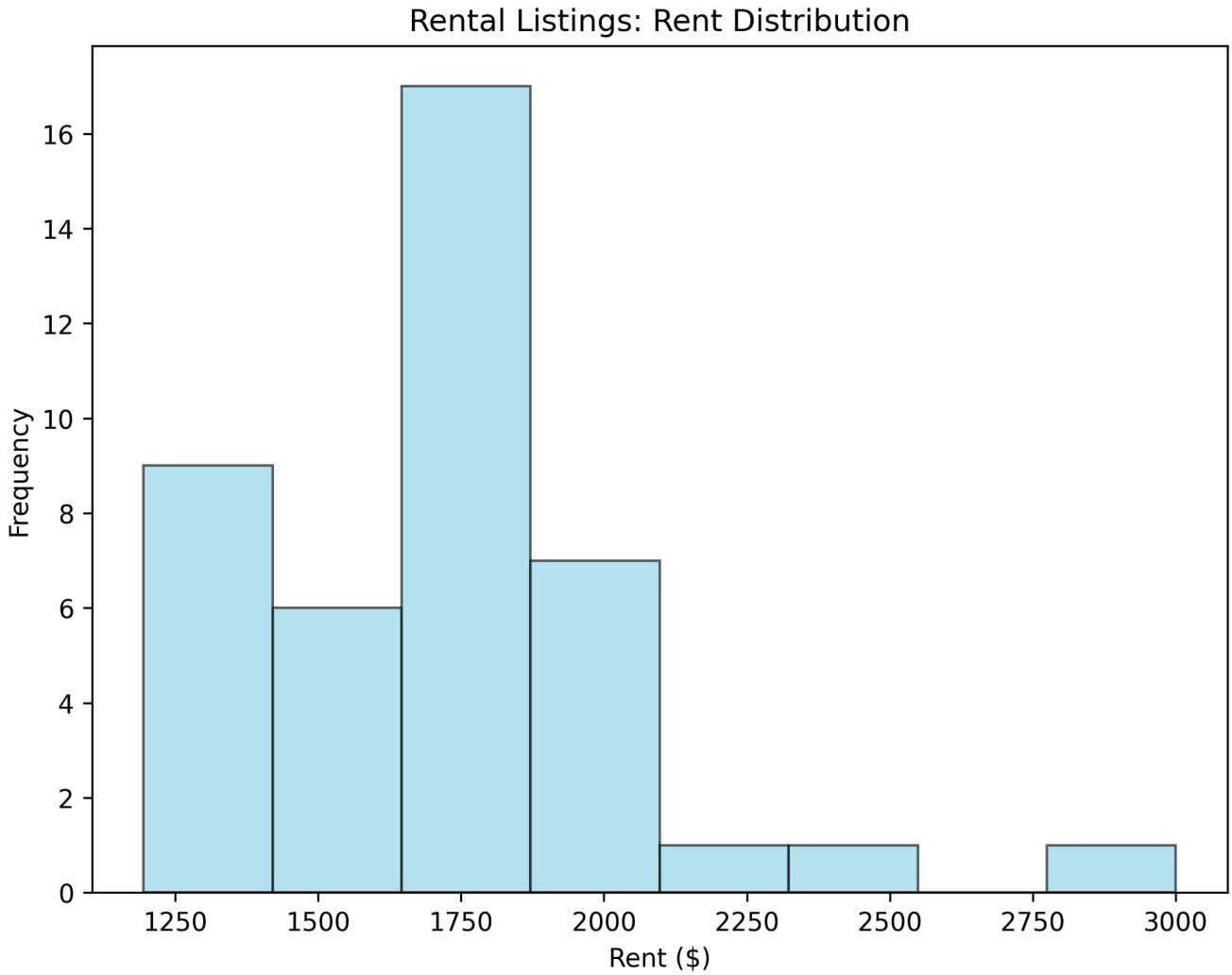
The comp-implied estimate is approximately $368,282.60. Applying the observed PPSF bounds to the subject's size yields a minimum estimated value of $171.54 × 2,030 ≈ $348,226.20 and a maximum estimated value of $289.99 × 2,030 ≈ $588,679.70. This bookends the plausible valuation envelope using market-observed extremes.

At the low end of the range, pricing corresponds to condition or appeal scenarios where buyers discount features or where micro-location disadvantages weigh on offers. At the high end, the figure reflects more extensive upgrades and competitive finishes, combined with superior presentation and timing. The comp-implied value sits closer to the lower bound, consistent with the PPSF compression evident in similarly large homes.

For strategy, this sensitivity underscores the importance of aligning list price with comp-supported PPSF while preparing for negotiation within a reasonable bandwidth. Positioning near the comp-implied level supports attracting qualified buyers without sacrificing upside potential if the property's condition, staging, or timing warrants a premium.

## Rental Market Analysis

### Rental Market Overview




There are 42 active rental listings with a median rent of $1,712.50 and a median RPSF of $1.32 (average $1.326). Asking rents span $1,195 to $3,000, while RPSF ranges from $1.01 to $2.00. Typical rentals are smaller than the subject, with an average living area of 1,292 Sq.Ft. and a median of 1,320 Sq.Ft. Days on market average 143 with a median of 31, and the observed range stretches from 1 to 1,087 days. The rent histogram reflects this distribution across unit sizes and price bands.

The data show that, despite a long tail of slow-moving listings, the median time to lease is about a month, signaling healthy absorption for well-positioned units. Given the subject's larger size relative to typical rentals, total rent should exceed the market median, although RPSF is likely to be lower than smaller units due to size-related compression. The consistency between the median and average RPSF indicates stable pricing norms across comparable offerings.

For the subject, this suggests capacity to target above-median total rent while staying within a competitive RPSF band. Marketing emphasis should be on overall livable space, functional layout, and any differentiating features that justify a higher total rent. Lease-up timing appears favorable provided pricing aligns with the RPSF range observed for similarly configured homes.

## Comparative Market Analysis (CMA)

| Address | Bedrooms | Bathrooms | Sq.Ft. | Vintage | Rent | RPSF |
|---|---|---|---|---|---|---|
| 541 Tulip Springs Rd | 3 | 2.5 | 1632.0 | 2024.0 | $2,400 | $1.47 |

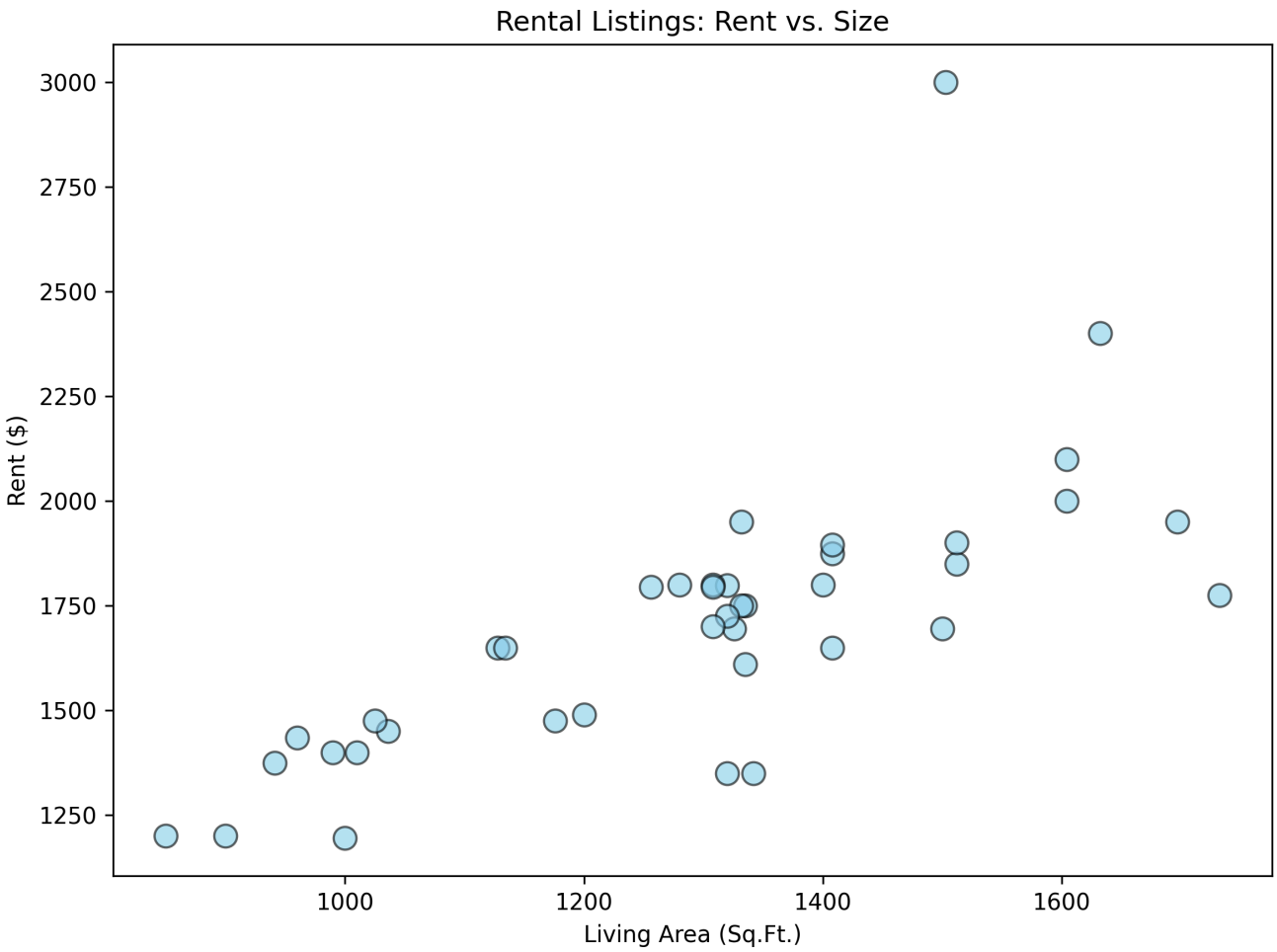
| | | | | | | |
|---|---|---|---|---|---|---|
| 761 Tulip Grove Rd | 3 | 2.5 | 1512.0 | 2000.0 | $1,850 | $1.22 |
| 743 Tulip Grove Rd | 3 | 2.5 | 1512.0 | 2002.0 | $1,900 | $1.26 |
| 735 Tulip Grove Rd | 3 | 2.5 | 1408.0 | N/A | $1,875 | $1.33 |
| 735 Tulip Grove Rd | 3 | 2.5 | 1408.0 | N/A | $1,895 | $1.35 |

The selected rental comps are the closest matches in beds, baths, size, and, where available, vintage, yielding an average RPSF of approximately $1.326. Sizes range from 1,408 to 1,632 Sq.Ft., with one newer 2024 listing at 1,632 Sq.Ft. achieving the highest observed RPSF among the set. All are 3-bedroom, 2.5-bath configurations consistent with the subject's layout.

These comps illustrate that newer or recently updated properties can command higher RPSF, while older or smaller units settle into the low-to-mid $1.20s to mid-$1.30s. Because the subject is larger (2,030 Sq.Ft.), RPSF compression relative to these comps is a reasonable expectation, even as total monthly rent is higher. The tight RPSF clustering supports the reliability of the average RPSF across this peer set.

Overall, the comp set provides a solid foundation for rent estimation, with condition and finish level as the main variables for adjustment. The presence of a recent-vintage unit at $1.47 RPSF sets an upper benchmark that the subject could approach if it presents competitively, though its larger footprint may anchor realized RPSF closer to the average.

## Rent Estimate




The baseline rent estimate, using the market median RPSF, is $1.32 × 2,030 ≈ $2,679.60

per month. The comp-implied rent, based on the average RPSF of the selected comps, is $1.326 × 2,030 ≈ $2,691.78 per month. The rent vs. size scatter plot situates the subject among larger 3-bedroom homes, where RPSF typically moderates as size increases.

The closeness of the two estimates indicates alignment between market-wide RPSF norms and the subject's nearest peer set, supporting confidence in the indicated rent range. Given that the comps are slightly smaller on average, they likely overstate RPSF marginally for the subject's larger size, while the median baseline naturally smooths such variations.

In practice, the comp-implied figure is the more property-specific anchor, but both estimates are directionally consistent. Final pricing can reasonably target the comp-implied rent while allowing for modest adjustments based on condition, finishes, and competitive positioning at the time of marketing.

### Rental Sensitivity

Applying the observed RPSF bounds to the subject's size yields a minimum rent of $1.01 × 2,030 ≈ $2,050.30 per month and a maximum of $2.00 × 2,030 ≈ $4,060.00 per month. These represent the outer edges of achievable pricing based on market-observed extremes.

The low end of the range corresponds to discounted scenarios such as off-season timing, deferred condition, or constrained amenities. The high end reflects premium finishes, favorable timing, and top-tier presentation relative to available inventory. The comp-aligned estimates fall comfortably within this band and gravitate toward the middle to upper portion of the feasible range.

Strategically, pricing near the comp-implied level balances rent optimization with occupancy certainty. Testing the upper end can be reasonable in peak demand windows or with superior condition, but maintaining flexibility to adjust quickly helps minimize vacancy and supports stable cash flow.

## Market Dynamics and Segmentation

### Market Velocity

Sales listings show an average DOM of 59 and a median of 52, with a minimum of 2 and a maximum of 402 days. Rentals present an average DOM of 143 and a median of 31, ranging from 1 to 1,087 days. Within 30 days, 14 of 65 sales (≈21.5%) and 20 of 42 rentals (≈47.6%) transact.

This indicates that rentals typically absorb faster than sales on a median basis, even as long-tail outliers inflate the rental average DOM. Sales velocity reflects a balanced market where appropriately priced properties transact in roughly two months, while rental demand supports relatively swift lease-ups for well-priced units.

For the subject, this suggests a leasing trajectory around the one-month median if priced in line with comps, while a sale could follow the typical 52-day median timeline. These dynamics inform holding-cost expectations and support a proactive pricing and marketing approach to capitalize on existing liquidity.

### Market Segmentation

Median PPSF for sales is $223.29 for 2-bedroom homes and $220.97 for 3-bedroom homes.

On the rental side, median RPSF is $1.385 for 2-bedroom, $1.300 for 3-bedroom, and $1.280 for 4-bedroom units. The subject's 3-bedroom profile maps to segments where PPSF and RPSF are modestly lower than 2-bedroom homes, consistent with size-driven compression.

Given the subject's 2,030 Sq.Ft., it is larger than the typical sale (median 1,412 Sq.Ft.) and rental (median 1,320 Sq.Ft.) listings. This size supports higher total value and rent while reinforcing the expectation of moderated PPSF/RPSF relative to smaller segments.

Marketing should target households prioritizing space and functionality within the 3-bedroom cohort, positioning the home to capture the higher total rent and value associated with larger footprints. Messaging and pricing should reflect segment norms while highlighting advantages in livable area to maximize appeal.

# Demographic and Economic Analysis

## Growth Trends

Local demographics reflect a total population of 9,074 and 3,743 households. Historical growth from 2020 to 2025 has been steady, with population and household growth of 0.32% and 0.30% annually, respectively. Forecast growth for 2025 to 2030 accelerates to 0.95% annually for population and 0.94% annually for households.

This trajectory shows a market transitioning from steady to faster growth, aligning with increased support for housing demand and occupancy. The combination of more households and higher population growth underpins both for-sale and rental demand.

For the subject property, these trends suggest sustained absorption and reduced vacancy risk over time. The acceleration in growth through 2030 provides a favorable backdrop for long-run price and rent resilience, strengthening the investment case.

## Economics and Affordability

Median household income stands at $93,734 and per capita income at $45,004, with future income growth projected at 2.55% annually from 2025 to 2030. The unemployment rate is 3.1%. Educational attainment includes approximately 26.9% with a bachelor's degree (1,763 of 6,549) and 13.9% with a graduate/professional degree (912 of 6,549).

These data points indicate solid purchasing power and rental affordability, with income growth and low unemployment supporting payment capacity. A meaningful college-educated base contributes to stable demand and potential preference for quality housing.

For pricing, this economic foundation supports rent and price resiliency, mitigating downside risk associated with income shocks. Over time, projected income gains may translate into gradual rent growth and improved pricing power, provided the subject remains well-maintained and competitively positioned.

## Housing Occupancy

Occupancy is high at approximately 96.2%, derived from (2,685 + 1,058) ÷ 3,889, with a vacancy rate near 3.8% (146 ÷ 3,889). These figures indicate tight housing supply and limited slack in the local market.

Such tightness typically correlates with stable pricing and dependable absorption for both

rentals and sales. For landlords, elevated occupancy supports consistent cash flow and reduces the risk of prolonged vacancy.

For the subject, high occupancy reinforces the case for a confident pricing stance within comp-supported bounds, while also signaling resilience against demand shocks. The limited vacancy suggests that well-presented listings should attract interest promptly.

# Investment Analysis

The comp-implied value is approximately $368,282.60, and the comp-implied monthly rent is approximately $2,691.78. These inputs produce an indicative gross rental yield of about 8.8% and a gross rent multiplier of roughly 11.4. Together, they frame the subject's income profile in relation to its market value.

An 8.8% gross yield is competitive for a stabilized submarket with strong occupancy and projected income growth. The GRM near 11.4 signals that pricing is aligned with achievable rents for a larger 3-bedroom footprint in this market, especially given typical RPSF compression.

Overall, the investment profile is attractive for buy-and-hold strategies focused on durable cash flow. Key sensitivities include ensuring rent realization near the comp-implied level and managing turnover timing; however, market conditions and demographic support reduce the likelihood of sustained underperformance.

# SWOT Analysis

| Strengths | Weaknesses | Opportunities | Threats |
|---|---|---|---|
| Larger-than-market size (2,030 Sq.Ft. vs. sale median 1,412; rental median 1,320) supports higher total value/rent | Rental market has long-tail DOM outliers (max 1,087 days), adding leasing risk variability | Forecast household and income growth (HH 0.94% and income 2.55% annually) support future demand and rent growth | Competitive pressure from newer 2023–2024 3BR units (e.g., multiple 1,632 Sq.Ft. listings) |
| Low unemployment (3.1%) and high occupancy (~96.2%) support payment stability | PPSF compression for larger units may limit premium versus smaller homes (3BR median PPSF $220.97 vs. 2BR $223.29) | Comp-implied value ($368K) below baseline ($453K) suggests room to add value toward market PPSF | Wide PPSF range ($171.54–$289.99) implies pricing uncertainty for exit |
| Solid gross yield at comp-implied value (~8.8%) | Lot size and HOA fee are N/A, limiting cost/amenity visibility | Aligns with 3BR segment medians; efficient positioning for broader renter demand | Sales absorption is moderate (median DOM 52), potentially extending exit timelines |

The subject's strengths rest on its larger footprint, high-occupancy context, and a comp-supported yield profile that aligns with durable income performance. These advantages are reinforced by low unemployment and an income base that supports ongoing rent and price stability. Together, they create a strong foundation for a buy-and-hold thesis.

Weaknesses reflect structural factors: PPSF compression for larger homes limits premium potential, and missing details on lot size and HOA fees constrain full cost analysis. Rental market outliers in days on market introduce variability that should be managed through responsive pricing and proactive leasing strategies.

Opportunities include capturing incremental rent growth as household counts and incomes rise and potentially narrowing the gap between comp-implied and baseline value via targeted improvements. Threats primarily involve competitive pressure from newer 3-bedroom inventory and value dispersion across the PPSF range, both of which argue for disciplined underwriting and careful exit planning.

# Conclusion and Recommendation

The subject's size, 3-bedroom configuration, and 2006 vintage position it well within local market norms, with pricing power anchored by a comp-implied value of approximately $368,283 and rent potential around $2,691.78 per month. These inputs support an indicative gross yield near 8.8% and a GRM around 11.4, while market factors—high occupancy (≈96.2%), median rental DOM near 31 days, and accelerating growth forecasts—provide a supportive operating environment.

At the same time, PPSF compression for larger homes, the broad PPSF range ($171.54–$289.99), and competition from newer 3-bedroom listings introduce valuation and leasing dispersion that should be addressed through prudent pricing and presentation. The consistency between baseline and comp-implied rents, along with the tight comp clustering, strengthens confidence in the income outlook.

Recommendation: pursue an acquisition or hold strategy with an all-in basis at or below the comp-implied value (≈$368K). At that basis, the projected rent (~$2,692/mo) and resulting yield and GRM indicate attractive risk-adjusted potential. Prioritize due diligence on current condition, finishes, and leasing positioning to ensure realization of comp-aligned rents, and calibrate exit expectations to market PPSF norms for larger 3-bedroom homes.